

Contractor Scam Protection Guide — Action Checklist

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VERIFY BEFORE HIRING

- ☐ **Verify Before Hiring:** Search your state's Contractors State License Board website and cross-reference the contractor's license number to confirm it is active and matches their business name exactly.
- ☐ **Verify Before Hiring:** Request a Certificate of Insurance directly from the contractor's insurer and verify the policy has at least one million dollars in general liability coverage before signing anything.
- ☐ **Verify Before Hiring:** Check your Secretary of State or county clerk records to confirm the business is registered and has been operating for at least one year in your area.
- ☐ **Verify Before Hiring:** Confirm the contractor's license classifications match the type of work you need, because a general contractor cannot legally perform electrical or plumbing work without the proper credentials.

LOCK IN CONTRACT PROTECTIONS

- ☐ **Lock In Contract Protections:** Ensure the contract includes a detailed scope of work with specific materials and brands listed, plus concrete start and completion dates that align with your payment schedule.
- ☐ **Lock In Contract Protections:** Add a lien waiver clause to the contract so you are protected if the contractor fails to pay subcontractors and those workers place claims against your home.
- ☐ **Lock In Contract Protections:** Include a termination clause that specifies your right to cancel the contract and receive a refund of any money already paid minus work completed to date.
- ☐ **Lock In Contract Protections:** Refuse to sign any assignment of benefits agreement that gives the contractor authority to collect insurance payments directly, because this removes your financial oversight entirely.

PROTECT YOUR PAYMENTS

- ☐ **Protect Your Payments:** Limit your upfront deposit to no more than one-third of the total contract price, with the remaining balance paid only at verified project milestones you have inspected.
 - ☐ **Protect Your Payments:** Use traceable payment methods like checks or credit cards instead of cash, and never pay in person to a third party or hand-deliver cash to anyone.
 - ☐ **Protect Your Payments:** Never sign blank change orders or any document that releases the contractor from liability, because every modification to scope or cost must be documented before work begins.
 - ☐ **Protect Your Payments:** Keep your own records of all payments made with dated receipts and photographs documenting work progress at each payment milestone throughout the project.
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